

16. DAMAGES; LIQUIDATED DAMAGES

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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DAMAGES

If the contract is not performed at all, or is performed late or incorrectly, the creditor may be able claim damages



This remedy is in line with the principle that an aggrieved party should, as far as possible, be brought back as much as possible to the pecuniary position she would have been in had the contract been properly performed (so-called “positive interest”)

How to assess contractual damages?

DAMAGES

General principle: full compensation for the damages resulting from a breach of contract

If a party suffers a loss due to a breach of contract, the party should be compensated to the extent that money can achieve, to be placed in the same situation, with respect to damages, as if the contract had been performed (**expectation damages**)

Compensation covers:

1. The loss suffered by the aggrieved party
2. The gain that the party has been deprived of



DAMAGES

e.g. Unidroit PICC - 7.4.2 (FULL COMPENSATION)

*The aggrieved party is entitled to **full compensation** for harm sustained as a result of the non-performance. Such harm includes both **any loss which it suffered and any gain of which it was deprived**, taking into account any gain to the aggrieved party resulting from its avoidance of cost or harm.*

Such harm may be non-pecuniary and includes, for instance, physical suffering or emotional distress.

But how far shall the courts go in charging to the defaulting promisor the consequences of his breach?



FORESEEABILITY

When awarding damages, the courts compensate the injured party only for the injuries that were foreseeable or within the contemplation of the parties at the time the contract was made

There are two types of foreseeable injuries:

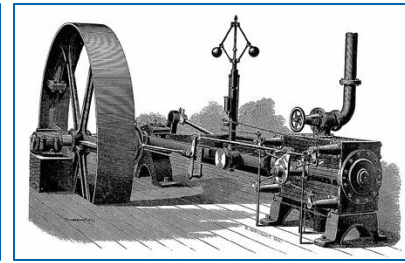
1. Injuries that will naturally result from the breach in the ordinary course of events
2. Injuries that arise from the aggrieved party's special needs or circumstances, of which the other contracting party has knowledge or reason to know

Foreseeability does not require actual foresight, but only reason to foresee



FORESEEABILITY

Hadley v Baxendale [1854] EWHC J70



The claimants, Mr Hadley and another, were millers and mealmen who owned and operated in a partnership the City Steam-Mills in Gloucester. Their work involved cleaning grain, grinding it into meal, and processing it into flour, sharps, and bran. Unfortunately, the mill stopped due to a breakage in a crank shaft. To have the shaft repaired, Hadley contracted Baxendale, a carrier. Baxendale was not informed that the mill would be stopped until the shaft was repaired, nor did he have reason to believe that this was the case. However, Baxendale breached the contract by delaying the delivery of the shaft. As a result, Hadley suffered a loss of business profits due to the stoppage of the mill. **Hadley cannot recover the lost profits because Baxendale had no reason to know that his delay would cause Hadley to lose profits.**

DUTY TO MITIGATE DAMAGES

A fundamental rule of contract damages is that the aggrieved/injured party cannot recover those losses that could have been avoided through reasonable effort and without undue expense, by taking advantage of opportunities that would not have been available but for the breach

- **Consequences of failure to comply with the duty**
 - The gains that the aggrieved party could have made by reasonable effort are deducted from the amount that it could otherwise recover
- **What is meant by reasonable effort?**



REASONABLE EFFORT

X enters into a contract with Y, a licensed nurse, under the terms of which Y will live with and take care of X's aged father for a three month period while X is on vacation. Y is to be paid 4,000 Euro for their services. However, X repudiated the contract before Y could perform any services or receive payment. In an effort to mitigate damages, Y advertised their private nursing services in two local newspapers. Y was unemployed for the entire three-month period as no one responded to his ad. Y is now suing X for 4,000 Euros plus the cost of advertisements. X argues that Y did not fulfill their duty to mitigate damages.

Y may recover the entire amount

Only a reasonable effort to mitigate damages is required. The doctrine does not require that his efforts be successful



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III. – 3:703: Foreseeability

The debtor in an obligation which arises from a contract or other juridical act is liable only for loss which the debtor foresaw or could reasonably be expected to have foreseen at the time when the obligation was incurred as a likely result of the non-performance, unless the non-performance was intentional, reckless or grossly negligent.

III. – 3:705: Reduction of loss

- 1) The debtor is not liable for loss suffered by the creditor to the extent that the creditor could have reduced the loss by taking reasonable steps.
- 2) The creditor is entitled to recover any expenses reasonably incurred in attempting to reduce the loss



LIQUIDATED DAMAGES CLAUSES

Parties to a contract agree – as one of the terms of their contract – that, in case of a breach, the responsible party will pay a predetermined/specified amount to the injured party

- In contrast to the more usual post-breach approaches to assessing damages, a liquidated damages provision anticipates a breach and sets the amount to be recovered before any party fails to fulfill their obligation under the contract
- Liquidated damages represent the parties' pre-estimate of the probable extent of damages, as the actual damages resulting from a potential breach are often unknown at the time of contracting
- Often this pre-estimate will turn out to be an inaccurate forecast of the harm actually caused by the breach

Are contracting parties free to determine the amount of liquidated damages?



LIQUIDATED DAMAGES CLAUSES

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Functions

1. Convenient method of determining the amount to be paid in case of a breach (good faith pre-estimate of the probable actual damages)
2. Coercing a party to perform its obligation (liquidated sum will generally provide for a liquidated damages which are in excess of the probable actual damages)
3. Diminish the amount of loss to be borne by a party in breach (the sum will be less than the probable amount of damages)

LIQUIDATED DAMAGES CLAUSES

Common law approach

Enforceable

Liquidated damages clause

Function: to pre-estimate the probable amount of damages



Unenforceable

Penalty clause

Function: coerce the defaulting party to perform their obligation

These are labels that the court assigns after determining whether the stipulated sum is a good-faith pre-estimate of potential damages

LIQUIDATED DAMAGES CLAUSES

Civil law approach

- Clauses that are not pre-estimates of damages are enforceable
- Civil law legal systems typically do not differentiate between ‘penalty’ and ‘liquidated damages clauses’
- Civil law jurisdictions only provide for one type of clause, which is referred to in different ways: *clause pénale*, *clausola penale*, *Vertragsstrafe*
- In civil law jurisdictions, judges are usually empowered to reduce the amount agreed upon by the parties if it is deemed to be manifestly excessive or in case of partial execution of the contractual obligation. It is important to note that any agreement that seeks to exclude the power of reduction is invalid, as this rule is mandatory

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III. – 3:712: Stipulated payment for non-performance

- 1) Where the terms regulating an obligation provide that a debtor who fails to perform the obligation is to pay a specified sum to the creditor for such non-performance, the creditor is entitled to that sum irrespective of the actual loss.
- 2) However, despite any provision to the contrary, the sum so specified in a contract or other juridical act may be reduced to a reasonable amount where it is grossly excessive in relation to the loss resulting from the non-performance and the other circumstances.

U.S. v BETHLEHEM STEEL CO. (1907)



The government contracted with the Manufacturer to supply gun carriages. The government prioritised speed and chose Manufacturer's higher bid – rejecting two cheaper bids – due to their promise of faster delivery. The agreement between the Government and Manufacturer included a penalty of \$35 per day for any delayed delivery of the gun carriages, payable by the Manufacturer to the Government. The sum was calculated by averaging the price difference between the Manufacturer and cheaper, albeit slower, suppliers. The Manufacturer has delayed the delivery of some of the gun carriages.

Is the clause enforceable?

Yes, the aim of the clause was to compensate the government, by means of a reasonable formula (losses sustained: higher price for a speedy delivery)

